STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

Case 23-G-0200 - Petition of The Brooklyn Union Gas Company d/b/a National Grid NY for a New York State Sales Tax Refund under 16 NYCRR Section 89.3 and Request for an Extension.

STAFF INITIAL BRIEF

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Table of Contents

I. INTRODUCTION 1
II. BACKGROUND 2
III. ARGUMENT 3
A. Biomethane Interconnections Will Lead To Emission Reductions 3
B. The Joint Proposal Includes Vastly Improved NPA Processes 5
C. Leak Survey Technologies Increase Safety and Reduce Emissions 6
IV. CONCLUSION 7

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I. INTRODUCTION

In a ruling at the evidentiary hearing that was held on May 20, 2024, Administrative Law Judges (ALJs) Maureen Leary and James Costello authorized parties to file post-hearing briefs regarding the specific issues raised at the hearing. In this Post-Hearing Brief, Staff will address: (1) the role of Biomethane Interconnections within the Climate Leadership and Community Protection Act (CLCPA) and the cost recovery protections in the Joint Proposal; (2) the Joint Proposal's vast improvements to the Companies' Non-Pipeline Alternatives (NPAs) framework; and (3) how leak survey technology provides safety and reliability benefits for both the Companies and customers.

The provisions of the Joint Proposal pertaining to Biomethane projects are reasonable because they provide the Companies with the flexibility to pursue these projects, which can contribute to the emission reduction goals of the CLCPA, while also protecting customers from the financial risks associated with these projects. The Joint Proposal includes numerous enhancements to the Companies NPA framework to help increase the likelihood that the Companies will be able to develop NPAs. Further, the Joint Proposal's leak survey requirements will help to increase public safety and reduce emissions.

Accordingly, Staff continues to support the Joint Proposal as a balanced resolution to the issues in these cases; the terms of which provide meaningful solutions and

benefits regarding a myriad of issues. Therefore, the Joint Proposal should be adopted by the Commission without modification.

II. BACKGROUND

On April 28, 2023, the Companies filed tariff leaves, direct testimony, and exhibits in support of their request to increase gas delivery rates for the rate year ending March 31, 2025, referred to in the context of the proposed three-year rate plans as "RY1." Over the course of these proceedings, Staff, the Companies, and other parties have pursued a resolution of these cases on both litigated and settlement tracks.[1] On April 9, 2024, the Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies) filed on behalf of Staff of the New York State Department of Public Service (Staff); Environmental Defense Fund (EDF); the City of New York (CNY); and NRG Energy (NRG) collectively the "Signatory Parties," a Joint Proposal recommending a comprehensive resolution of all issues raised in these proceedings.[2]

After the Signatory Parties filed the Joint Proposal, numerous parties filed initial statements on May 1, 2024, and reply statements on May 10, 2024, expressing their support or opposition to the Joint Proposal.

In its Initial and Reply Statements, Staff recommended that the Commission adopt the provisions of the Joint Proposal and establish three-year gas rate plans for KEDNY and KEDLI to begin as of April 1, 2024.[3] On May 20, 2024, an evidentiary hearing was conducted by ALJs Leary and Costello. At the evidentiary hearing, parties cross-examined Staff and the Companies' witnesses concerning the Joint Proposal. Additionally, at the evidentiary hearing the ALJ's asked the parties if there was a necessity for post-hearing briefs.[4] We Act For

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1 Cases 23-G-0225 et al., KEDNY and KEDLI – Gas Rates, Staff Statement in Support of Joint Proposal (filed May 1, 2024) (Staff Statement in Support), pp. 1-3.

2 Exhibit (Ex.) 676.

3 Staff recognizes that the Joint Proposal was submitted after the proposed beginning of the three-year rate plans. In order to allow for settlement negotiations and various procedural steps, the Companies' consented to extensions of the maximum suspension period for a major rate filing provided in Public Service law (PSL) §66(12)(f). As explained in the Joint Proposal and at various points herein, the Joint Proposal provides for a "make-whole," placing the Companies and customers in the same position they would have been in had the rate plans been in place on April 1, 2024.

4 Cases 23-G-0225 et al., supra, May 20, 2024, Evidentiary Hearing Transcript, (Hearing Transcript) p. 121.

Environmental Justice (We Act), and the Alliance For A Green Economy (AGREE) requested the opportunity to file post-hearing briefs.[5] In response, the ALJ's ruled that the parties may file a post-hearing brief by June 3, 2024, which is limited to the matters raised at the evidentiary hearing.[6] Further, the ALJs ruled that the Signatory Parties to the Joint Proposal may file reply briefs by June 10, 2024.[7]

III. ARGUMENT

A. Biomethane Interconnections Will Lead To Emission Reductions

At the evidentiary hearing, We Act cross examined the Companies witnesses concerning their proposed biomethane interconnection projects. More specifically, We Act questioned whether the Companies track the carbon dioxide that is emitted from the thermal oxidizer, whether the flaring conducted at the biomethane sites emits carbon dioxide, and about the risk of methane leaks from the interconnection pipes.[8]

The Joint Proposal contains reporting requirements pertaining to Biomethane interconnections to provide increased transparency for these projects. The Joint Proposal requires certain reporting prior to when construction starts to allow for an assessment of costs, benefits, materials, and an accounting of upstream Greenhouse Gas (GHG) emissions avoided by the biomethane the Companies' will procure as a result of the interconnection. Further the Joint Proposal allows the Companies to defer the revenue requirement impacts associated with the capital costs, which are capped at $13.195 million for KEDNY and $9.868 million for KEDLI, for new interconnections with biomethane production facilities. Should these projects not come to fruition, customers are insulated from paying for these interconnection projects. The Joint Proposal also states:

> To the extent that the Companies purchase biomethane from interconnected biomethane facilities, the prices paid for such supplies should be consistent with the market price of natural gas supplies purchased at similar locations and consistent with the Companies' existing gas supply portfolio. The prices paid

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5 Id., pp. 122-123.
6 Id., pp. 123-125.
7 Id., p. 123.
8 Hearing Transcript, pp. 36, 45, and 60.

> should be no greater than prices of other gas supplies purchased at the Companies' city gates.[9]

Also, the Joint Proposal contains a provision that requires the Companies to "engage with the project developers to discuss options for the developers to monetize and sell credits for the environmental attributes associated with the biomethane projects."[10]

As highlighted in Staff's testimony and discussed in Staff's initial statement, maintaining the Companies' ability to pursue these Biomethane interconnection projects is important as the Climate Actional Council's Final Scoping Plan recognized the role renewable fuels play "to meet customer needs for space heating or process use where electrification is not yet feasible or to decarbonize the gas system as it transitions."[11, 12] These provisions of the Joint Proposal address Staff's concerns regarding the likelihood that developer-led Biomethane projects reach completion and provide a pathway to address the concerns raised by the Climate Action Council. In addition, the Joint Proposal's provision requiring the Companies to engage with Biomethane developers to discuss options for the purchase of the environmental attributes within New York State may provide individual customers with an opportunity to further support such developer projects, and emission reductions contributing toward the CLCPA's GHG reduction goals. Another benefit to customers of these interconnections with Biomethane producers is that it provides an, as yet, unquantified level of increased supply reliability to customers because of the delivery of the supply directly into the local distributions system rather than relying on an upstream pipeline and city gate interconnection into the distribution system.

These provisions of the Joint Proposal are reasonable because they provide a cost recovery mechanism that provides flexibility for the Companies to pursue Biomethane projects, which can contribute to the emission reduction goals of the CLCPA, while insulating customers from the risks associated with developer-led projects. Thus, the provisions provide an overall benefit to customers.

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9 Ex. 676, p. 56.
10 Id.
11 Ex. 452, p. 13, lines 10-18.
12 Staff Statement in Support, pp. 86-88.

B. The Joint Proposal Includes Vastly Improved NPA Processes

In the hearing, ALJ Leary asked, "is every NPA customer driven… or are there NPAs that you can actually implement… that are not dependent on… a customer choosing [to participate in the NPA], but it would be Company driven?"[13] Simply put, there is no such thing as project which would be recognized as an NPA project as discussed in the Gas Planning Order absent customer and/or third-party market buy-in and participation.[14] NPA projects require coordination between the utility, customers, and third-parties.

Work is underway to improve the NPA development process. Processes for developing NPA projects are presently under development statewide in Case 20-G-0131, the Gas Planning Proceeding.[15] In the meantime, the Joint Proposal includes numerous enhancements to the existing NPA process and expands the scope of traditional capital projects that can be avoided through successful implementation of NPA projects.[16] Specifically, the Joint Proposal continues the NPA-related mechanisms first established in the 2021 Joint Proposal,[17] and includes eight meaningful improvements to the Companies' NPA project implementation process, including prioritization of NPA projects within Disadvantaged Communities; a new, more rigorous process for developing NPA opportunities with the highest likelihood of success; new or expanded NPA use-cases that the Companies must pursue; strengthened customer outreach and education efforts through use of implementation contractors and lessons learned from experience with other NPA projects and other utilities; and both improved forward-looking implementation planning and backward-looking reporting requirements to ensure that the NPA development process is improving as quickly as possible.[18]

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13 Hearing Transcript, p. 104, lines 3-7.

14 Case 20-G-0131, Gas Planning Proceeding, Order Adopting Gas System Planning Process (issued May 12, 2022) (Gas Planning Order), pp. 6, 13-14, 34-43; Other projects which were initially proposed as "NPAs" by the Company but which would not be considered as an NPA under the established criteria include the proposed HyGrid project, see, Ex. 40, p. 74, which, notably, the Joint Proposal does not provide funding for.

15 Gas Planning Order, pp. 40-43.

16 Staff Statement in Support, pp. 70-78; Cases 23-G-0225 et al., supra, Staff Reply Statement (filed May 10, 2024), pp. 10-15.

17 Staff Statement in Support, pp. 73-74.

18 Ex. 676, pp. 39-46.

The improved NPA processes and additional resources recommended in the Joint Proposal should help the Companies implement successful NPA projects going forward and should therefore be accepted.

C. Leak Survey Technologies Increase Safety and Reduce Emissions

At the evidentiary hearing, ALJ Leary examined Staff about the Enhanced High Emitter Methane Detection Program.[19] Leak detection technology plays a crucial role in maintaining the safety of the gas system, which the Commission's rules acknowledge. The Commission's Pipeline Safety Regulations require gas corporations to leak survey their gas systems and to classify leaks found based on the hazard they present to life and property.[20] The prescribed leak classification system grades leaks based on a likeliness of the gas emission to accumulate into a combustible gas-air mixture. A Type 1 leak representing the greatest potential of accumulation into the explosive range, thus endangering life and property. In contrast, a Type 3 leak represents a leak that is very unlikely to be able to accumulate into the combustible range. The leak classification system does not grade leaks in term of volumetric release of methane primarily because the tools or devices used to detect methane only do so by measuring concentrations of methane, in parts per million or percent of gas-in-air or percent of lower explosive limit, at a given sampling point.

In order to quantify the rate of the release, at a minimum, the size of the orifice, or hole in the pipe, and the pressure on both sides of the orifice must be known. The rate of release cannot be determined using values provided by traditional leakage survey and detection technologies since those technologies only quantify the volume of methane present at a single point in space and time. Therefore, advanced leak detection technologies have been in development to attempt to quantify the rate of release. To do this, advanced leak detection technologies use gas detection technology to collect data about a gas plume or gas migration pattern to be able to derive or calculate the rate of release.

The Companies proposed, in their direct testimony,[21] an Advanced Leak Detection Program. This program was modified into the Supplemental Leak Surveys described

[19] Hearing Transcript, p. 111, lines 8-19.
[20] 16 NYCRR Part 255.
[21] Ex. 107, pp. 22-24.

in the Joint Proposal.[22] The Supplemental Leak Survey provisions of the Joint Proposal will require the Companies to make additional leakage surveys that utilize advanced leak detection technology, including vehicle mounted cavity ring down spectroscopy with a Global Positioning System (GPS), wind movement technology or other new Commission-approved leak detection technology.

Any increase in the number of leakage surveys will increase the likelihood of a new leak being detected and the sooner a leak is detected and classified, the sooner the hazard to public safety can be appropriately addressed. The Supplemental Leak Surveys, as proposed in the Joint Proposal, will accomplish this for pipe that is most likely to develop a new leak. The Joint Proposal also will require the Companies to repair any leaks emitting 10 standard cubic feet per hour.[23]

The implementation of the Supplemental Leak Survey provisions of the Joint Proposal will increase public safety, by added additional leak survey beyond those mandated by Pipeline Safety Regulations and help reduce GHG emissions through the reduction of methane emissions, by requiring high emitting Type 3 leaks to be repaired.[24] Accordingly, these provisions of the Joint Proposal are reasonable and should be approved.

IV. CONCLUSION

For the reasons stated in Staff's Statement in Support of the Joint Proposal, the Reply Statement and this Initial Brief, Staff recommends that the Commission adopt the terms of the Joint Proposal without modification.

Respectfully submitted,



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Dated: Albany, New York
June 3, 2024

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22 Ex. 676, p. 32.
23 Id.
24 Staff Statement in Support, p. 58.